

expected to decline from 7.2 per cent in 2007 to 2.1 per cent in 2009. India's own exports, 80 per cent of which are fed by demand in the US and Europe, may be headed for bigger slides, by as much as between 15-20 per cent in the next fiscal if conditions don't improve, warns A. Sakthivel, president of the Federation of Indian Export Organisation (FIEO).

A large number of sectors like textiles, leather, chemicals, auto-components, tyres, electronics and electrical items are likely to see a fall in their exports in January-March 2009 and April-June 2009, says a survey by FICCI. Though merchandise and services exports constitute only 21 per cent of our gross domestic product (GDP), it will hit employment badly. According to FIEO the job losses could reach 10 million by the end of March-April. It is true, as Kamal Nath points out, that in an interconnected world, when all nations are being impacted, India cannot escape unscathed. But the fiscal and monetary measures can at least match needs, say exporters. Even those are not enough to combat the aggressive interest rate cuts by China to push its exports amid the meltdown. While the Chinese get export credit at interest rates of 5.5-6 per cent, Indian exporters are still struggling with rates as high as 9.5-11 per cent.

Exporters are thus in a bind over how to compete in potential markets. "We are facing stiff competition from cheaper textiles from Bangladesh," says Sakthivel. Exports have seen a steep decline of 11-12 per cent from November to January. With order books drying up and not showing much promise beyond March, the future is bleak, particularly, for garments. Thousands of units face closure with more job losses than the five lakh already reported, according to Rakesh Vaid, chairman of the Apparel Export Promotion Council (APEC). "The global scenario is such that we cannot think of growth, the question now is of survival."

The condition is worse in the gems and jewellery industry, especially diamond units in Surat. Most of the 2,500-

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"Forget about growth, all we can think of in the current global scenario is survival."

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3,000 units haven't opened or functioned "normally" since Diwali. Geetanjali Jewellers' Chairman Mehul Choksi fears that the credit squeeze could result in bigger lay-offs. "An estimated 35 per cent of 12 lakh diamond workers could be jobless," says Choksi.

Automobile exports are no better, falling from 1,18,512 units in February 2008 to 1,10,252 units this year, according to the Society of Indian Automobile Manufacturers. While Tata Motors' sales from exports declined by 68 per cent from February 2008, Mahindra and Mahindra could export just 300 units in February 2009 as against 1,295 units last year.

Engineering Export Promotion Council Chairman Aman Chadha, whose sector has so far bucked the downtrend, warns that the major im-

pact of the crisis will be felt from April 2009 onwards when the current order cycle would have been completed for the companies. Sanjay Budhia, chairman, CII National Committee on Trade, however, feels that the latest trade facilitation measures in the supplement to the foreign trade policy will bring in benefits. "Ease in availability of duty credit scrips and recognition of Surat as the town of excellence for diamonds would help to boost exports." But that may take some time.

Stuck between the devil and the deep sea, the only option for exporters now is to cut production costs, working days and hours and looking at new locations like Middle East, Africa, Latin America and the Gulf. As with the early traders, Indian exporters will have to chart new trading routes. ■



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